

MARKETS WAITING TO BE CAPTURED

Amidst all this recession clatter, some sectors of the Indian electronics industry are still generating demand and new entrepreneurs are expected to capture the market

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The economic slowdown, it seemed, was all engulfing. However, in the last survey conducted by EFY research bureau there were enough evidences to suggest that the Indian electronics industry was defying the downturn with positive growth strategies. In the current survey, we have assessed the market demand and the level of support expected from the government. We have also tried to get suggestions from the industry veterans for would-be entrepreneurs.

Optimism among top executives in the Indian electronics industry has not declined, with more than three-fourth of the respondents stating that there was a strong market demand. The rest saw a potential for turnaround by the end of 2009.

There is a growing shift in the target customer base. Companies have moved on from being export-oriented to focusing more on the domestic market. More precisely, with the presence of a strong domestic demand, the Indian electronics industry is expected to maintain a moderate pace of growth despite the continuation of the global recession. And in the near future, rural India has the potential to turn out to be a major stakeholder in the customer base of most firms.

Veterans like K.S. Mittal, director (projects), Mobile Communication (India), opined that "India is an agriculture-based economy. So, with the growth of the Indian economy, the buying capacity of rural population

is bound to grow. Indian electronics manufacturers should be focused to cater to this segment."

The growing sectors

Let's delve a little deeper to identify the products in demand. More than 90 per cent of those surveyed promptly identified telecom, power electronics and electronic security as the most demand-generating sectors. The strongest growth driver turned out to be telecom, followed by power and security, respectively.

In telecom, the focus areas are mobile computing, introduction of more sophisticated switching equipment and also more advanced mobile platforms like 3G. This will aid in the proliferation of a diverse range of software and hardware. Ashok Kale, director at Sanstar, expects that entertainment and mobility will evolve hand in hand.

The power electronics sector has been growing steadily at 27 per cent for the last couple of years. The most encouraging trend, though, is that a new market segment is evolving for the UPS, which is further adding to the growth. At the same time, the nature of demand is changing continuously, thereby redefining the focus area.

Pramod Agashe, COO, APW President, reckoned that traditional rack-mount power distribution units are not designed to cope with today's high-density computing environments. With data centres housing enclosures across all power densities, providing flexible power distribution for mixed information technology (IT) environments including blade server, network and storage applications has become

critical.

Sunil Bhatnagar, director at Parker Power, pointed towards the need for renewable energy systems. According to him, solar photovoltaic conversion systems is an emerging market.

Following the rise of terror attacks, the chief concern plaguing investors, managers and business owners is how to beef up the security in their organisations. This concern has acted as a huge demand driver for electronic security systems. Cost-effective total-security solutions are in demand. Access control system based on innovations that make them more accurate and easier to use, will see the quickest gains. The more mature alarm and CCTV systems will rebound with newer housing construction. Innovative products may gain far more importance.

According to K. Tarun Singh, general manager-projects, AV Security Systems, automatic explosive detectors with 3D surveillance, robotic guards and electronic fencing are in demand

Methodology

In this survey, fifty companies were randomly selected from the Indian electronics industry. So this report is a sample representation of India's electronics industry. Top executives from these organisations were asked questions regarding:

1. Demand-generating sectors
2. Suggestions for new entrepreneurs to capture the market
3. Suggestions for the government to support the market

The responses obtained were then collated and analysed.